

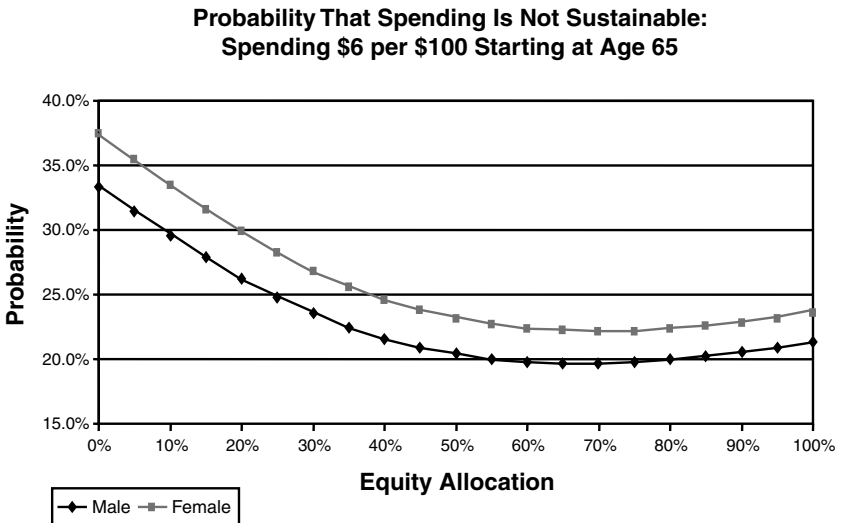


Figure 8.4 Extremes are never good: 70% stocks seem safe.

Source: Moshe Milevsky and the IFID Centre, 2008.

Summary

- There is nothing magical about retirement that should force a more conservative portfolio allocation, especially when you consider longevity risk.
- The method of Monte Carlo simulations is being widely used in the financial services industry to compute and illustrate the impact of various retirement income strategies. Get used to it, and ask your financial or investment advisor to generate a Monte Carlo illustration of your financial future.
- I presented an easy-to-use formula that you can use/apply to test whether your spending plan/rate is sustainable, given the risk/return projections for your retirement portfolio and your current age. Although it is just an approximation, you should strive for sustainability numbers above 90%.
- I think that retirees should have a substantial exposure to equity-based investments, at the very least to beat their personal inflation rate.